

I checked how often price climbed during the decline to the ultimate low. The results in the table shows how far into the pattern price moved along the journey. The results help you gauge where to put the stop-loss order.

For example, if you place a stop at the top of the pattern after a downward breakout in a bull market, price will trigger the stop 2% of the time.

Once you decide on a stop location, change the potential loss into a percentage of the current price. If it's a large percentage, you might want to move the stop or abandon the trade. Of course, moving the stop closer to the current price increases the chance of it taking you out of a winning trade prematurely. So stop placement is an art.

You might consider using a volatility stop. See the Glossary for details.

[**Table 65.8**](#) shows pattern performance over three decades.

Performance over time. Upward breakouts show an alarming drop-off in performance (almost half from the 1990s). Downward breakouts haven't really changed over time.

Failures over time. Failures for upward breakouts have become steadily worse. Downward breakouts don't show a consistent trend, but they are higher now than they were in the 1990s.

[**Table 65.9**](#) shows busted pattern performance.

Busted patterns count. The busted count is relatively flat except for downward breakouts in bull markets, where it rises to 42%, above the 22% to 28% for the other three columns. If you think that the column represents a countertrend move (a downward breakout when the market is climbing), then you have to wonder why the bear market, upward breakout column only sees 23% of triangles bust.